FINANCIAL DILIGENCE SUPPORT - RECORD 010

Helioscope Robotics, Inc. - diligence file reference FINANCE_SUPPORT-010

1. Preparation basis, source systems and control observations

The reported figures are the output of a monthly close process with identifiable weaknesses, and this section describes that process rather than assuming it operates. On this point,, the engagement is analytical and evidence-based rather than an audit, a review or an examination, and no opinion or assurance conclusion is expressed on any period or balance. By reference,, revenue recognition decisions are made contract by contract without a standing checklist, so treatment depends on who prepared the memorandum.

On the evidence,, because no audited financial statements exist for any period in scope, every opening balance rests on management's own records and on the review engagement's limited procedures. In the file,, management represented that the pending change request on one contract will be priced at list, which cannot be tested until the change is executed. At the cut-off,, pro forma items are separated from normalizations so that a reader can adopt one class without accepting the other. JE-25-0271 is a grant recognition of $65,000 posted on 2025-03-14. On inspection,, a state innovation grant was recognized in other income in a single entry on receipt. On this grant recognition, the reviewer left the amount unchanged after review but strengthened the evidence reference. This grant recognition was prepared by R. Calloway and with no approver recorded. The programme expired in 2025, so the benefit is removed from the forward view.

On the balance,, the reviewer worked from the statutory ledger throughout; where management's own adjustments had been posted into the ledger they were reversed before analysis rather than accepted as reported. Against the ledger,, where an exception is identified, the reviewer states the population, the value tested, the coverage achieved and the projected effect before proposing any adjustment. At the cut-off,, journal approval operates through a workflow field that can be left blank, and the reviewer found it blank on entries with a material aggregate value. In detail, a round-dollar entry of $25,000 appears as JE-26-0488 on 2026-05-29. On the source,, a round accrual for the October 2026 customer summit was posted six months in advance of the event. For this round-dollar entry, the item is cross-referenced to the corresponding entry in the information request register. For this round-dollar entry the preparer was T. Vasquez, approved by M. Okonjo. On this round-dollar entry, the amount was agreed to the underlying system extract without a residual difference.

On reperformance,, access to post revenue journals extended beyond the accounting team until access rights were narrowed in July 2025. By reference,, the billing system and the general ledger are reconciled monthly but the reconciliation was not evidenced by a preparer signature for four of the thirty months. On the documents,, contract amendments are stored in a shared drive without a register, so the reviewer built the amendment population from the contract files themselves. JE-25-1174 is a credit memorandum of $118,700 posted on 2025-11-28. In review,, a service credit to a major account was posted as a reduction of revenue rather than as a contract liability. On this credit memorandum, reperformance used the contractual rate rather than the rate management had applied. This credit memorandum was prepared by M. Okonjo and approved by T. Vasquez. The classification is defensible but the recurrence judgment on the underlying credit was changed by the reviewer.

2. Items the reviewer added to the schedule

Several of the items below move earnings downward, and they are presented with the same evidence standard applied to the seller's upward items. On this point,, because no audited financial statements exist for any period in scope, every opening balance rests on management's own records and on the review engagement's limited procedures. On the evidence,, management represented that the retention-contingent portion of the deferred consideration is genuinely contingent, and the retention agreements have only partly been provided.

On reperformance, the tie-out includes ADJ-02, Financing and diligence legal fees, which adds back $318,455 against LTM Jun-2026 on a non-recurring basis. On the balance,, the fees relate to financing preparation and diligence response rather than to running the business, and the engagement letters scope the work accordingly. Support consists of three law-firm invoices coded to outside professional fees, with engagement letters, and the item was put forward by management. Financing and diligence legal was reduced at $291,200: one invoice bundles routine commercial contract review with transaction work, and the reviewer left the commercial portion in reported results. On Financing and

diligence legal, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference. On the merits, among the larger items is ADJ-08, Warranty reserve release, which deducts $96,150 against FY2025 on a normalization basis. Per the register,, a reserve established in 2023 for a superseded gripper assembly was released to cost of sales in June 2025, flattering reported margin in a period with no offsetting claim experience. Support consists of the warranty reserve rollforward and the field failure log, and the item was put forward by diligence. Warranty reserve release was accepted at $96,150: the release is visible as a single credit journal and the failure log shows no corresponding decline in claim volume. On Warranty reserve release, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. ADJ-10 concerns deployment labour capitalized in error and was raised by diligence as a reclassification item. On testing,, field crew hours spent commissioning customer sites were added to internal-use software rather than expensed, understating cost of deployment services in the year the work was performed. On Deployment labour capitalized in, the reviewer recorded the alternative treatment so that a reader can substitute it if the assumption is rejected. Deployment labour capitalized in is recorded as a deduction of $213,800 in FY2025, evidenced by the fixed asset addition schedule traced to timesheets for four deployment crews. Deployment labour capitalized in was accepted at $213,800: the timesheets identify customer sites rather than internal projects, so the cost belongs in operating results.

On inspection, management proposed ADJ-11 at $145,000 for LTM Jun-2026, described as founder salary normalization to market. Per the register,, management proposes to hold founder compensation at its current below-market level on the argument that the founders will not renegotiate. Founder salary normalization to was rejected outright: the reviewer will not build a deduction on an assumption about future negotiation; the more defensible treatment leaves reported compensation in place and flags the exposure. Founder salary normalization to carries a recurrence judgment of pro forma, and the supporting file is a compensation benchmark memorandum prepared by management's advisers. On Founder salary normalization to, no further procedures were considered necessary once the source document had been inspected. In review, diligence proposed ADJ-28 at $88,500 for FY2025, described as supplier recovery on the harness defect. In this stream,, the supplier settled part of the rework campaign cost, and the recovery was credited to cost of sales in the same year the scrap arose. Supplier recovery on the was accepted at $88,500 and the reason sits on the schedule itself. Supplier recovery on the carries a recurrence judgment of non-recurring, and the supporting file is the supplier settlement letter and the credit applied against open payables. On Supplier recovery on the, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. ADJ-32 concerns management fee charged by the founder holding entity and was raised by management as a normalization item. In detail,, a flat monthly fee charged by a founder-controlled entity covers services partly replaced by the company's own finance team since mid-2024. On Management fee charged by, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. Management fee charged by is recorded as a add-back of $120,000 in FY2024, evidenced by the intercompany invoice series and the services description in the shared services memorandum. Management fee charged by was reduced at $74,000: the reviewer removed only the portion of the fee for which no continuing service was identified, and left the accounting support component in reported cost.

In review, diligence proposed ADJ-03 at $27,315 for FY2025, described as reversal of a duplicated freight accrual. On any view,, freight for two November shipments was accrued twice, once from the shipping manifest and once from the carrier invoice, so reported cost was understated when the accrual reversed in December. Reversal of a duplicated was accepted at $27,315 and the reason sits on the schedule itself. Reversal of a duplicated carries a recurrence judgment of normalization, and the supporting file is the November 2025 accrual workpaper compared against the carrier statement. On Reversal of a duplicated, reperformance used the contractual rate rather than the rate management had applied. ADJ-36 concerns unrecorded credit balance owed to evergreen warehousing and was raised by diligence as a normalization item. In detail,, an overpayment received in March 2026 was recorded as revenue against an open invoice that had already been settled, so the amount is a liability to the customer rather than earnings. On Unrecorded credit balance owed, reperformance used the contractual rate rather than the rate management had applied. Unrecorded credit balance owed is recorded as a deduction of $53,400 in LTM Jun-2026, evidenced by the customer statement, the unapplied cash report and the account reconciliation. Unrecorded credit balance owed was accepted at $53,400: the unapplied cash report and the customer statement agree, and management issued the credit memorandum in July 2026. On the substance, management proposed ADJ-09 at $1,247,300 for LTM Jun-2026, described as stock compensation expense. As to the facts,, non-cash share-based compensation measured under FASB ASC Topic 718 is removed to reach

a cash earnings measure, consistent with how the lenders in the process model the business. Stock compensation expense was accepted at $1,247,300: the expense agrees between the equity administrator's report and the general ledger, and no portion was settled in cash during the period. Stock compensation expense carries a recurrence judgment of normalization, and the supporting file is the equity administrator's expense report reconciled to the payroll and equity ledgers. On Stock compensation expense, the file records the question asked, the answer given and the document that settled it.

Schedule 10.1 - Adjustment schedule with reviewer disposition

Ref	Adjustment	Amount ($)	Direction	Period	Recurrence class	Proposed by	Evidence	Reviewer disposition	Accepted ($)
ADJ-01	Dependent enrollment overpayment on the medical plan	41,860	Add-back	FY2024	Non-recurring	Management	carrier invoices for February through April	Accepted	41,860
ADJ-02	Financing and diligence legal fees	318,455	Add-back	LTM Jun-2026	Non-recurring	Management	three law-firm invoices coded to outside pro	Reduced	291,200
ADJ-03	Reversal of a duplicated freight accrual	27,315	Deduction	FY2025	Normalization	Diligence	the November 2025 accrual workpaper compared	Accepted	27,315
ADJ-04	Owner's vehicle and club dues	34,720	Add-back	FY2025	Normalization	Management	general ledger detail for accounts 6410 and	Reduced	22,180
ADJ-05	Severance for the departed VP of Operations	186,400	Add-back	FY2025	Non-recurring	Management	the separation agreement and the payroll reg	Accepted	186,400
ADJ-06	Recruiting fees for the replacement operations leader	74,600	Add-back	FY2025	Normalization	Management	the search-firm invoice and the executed off	Rejected	0
ADJ-07	Cloud hosting overage during the Crestline migration	128,940	Add-back	H2-2025	Non-recurring	Management	the hosting provider's invoice detail by pro	Reduced	79,500
ADJ-13	Trade show and customer summit costs	88,250	Add-back	FY2025	Non-recurring	Management	event vendor invoices and the internal event	Rejected	0
ADJ-14	Bad debt write-off on the Dunbar Industrial receivable	154,900	Add-back	FY2024	Non-recurring	Management	the write-off approval memorandum and the cu	Reduced	118,400
ADJ-16	Pro forma savings from the renegotiated hosting contract	204,000	Add-back	Q2-2026	Pro forma	Management	the executed hosting agreement dated 2026-04	Reduced	121,000
ADJ-18	Inventory obsolescen	267,500	Add-back	FY2024	Non-recurring	Management	the obsolescen	Reduced	168,000

Ref	Adjustment	Amount ($)	Direction	Period	Recurrence class	Proposed by	Evidence	Reviewer disposition	Accepted ($)
	ce charge on the first-generation chas						ce provision workpaper and the		
ADJ-19	Customer credit issued for the Asterion availability short	118,700	Add-back	FY2025	Normalization	Management	the credit memorandum, the service level rep	Rejected	0
ADJ-20	Unfunded paid time off accrual movement	84,300	Deduction	LTM Jun-2026	Normalization	Diligence	the PTO liability rollforward and the human	Accepted	84,300
ADJ-21	Research credit recognized on a single receipt basis	96,800	Deduction	FY2025	Normalization	Diligence	the credit study, the amended return and the	Accepted	96,800

2. Items the reviewer added to the schedule - part 2 of 2

Following on directly, these further rows of the 2. Items the reviewer added to the schedule belong to the same schedule and share its numbering. No row is omitted at the join.

Column definitions stated with the first part of the 2. Items the reviewer added to the schedule govern the whole of it, and any qualification recorded there is carried forward here. No row is omitted at the join.

Schedule 10.1 - Adjustment schedule with reviewer disposition (continued, part 2 of 2)

Ref	Adjustment	Amount ($)	Direction	Period	Recurrence class	Proposed by	Evidence	Reviewer disposition	Accepted ($)
ADJ-22	Contractor conversion cost differential	138,900	Deduction	Q1-2026	Run-rate	Management	offer letters for eleven converted contracto	Reduced	92,400
ADJ-23	Duplicate software subscriptions during the tooling consol	57,450	Add-back	FY2025	Non-recurring	Management	vendor invoices for two overlapping licence	Accepted	57,450
ADJ-24	Deferred revenue haircut on the Harborline pilot	62,900	Deduction	H2-2025	Normalization	Diligence	the pilot agreement, the acceptance certific	Accepted	62,900
ADJ-27	Scrap on the wrist-joint harness rework campaign	142,650	Add-back	FY2025	Non-recurring	Management	the rework work orders, the scrap ticket fil	Reduced	96,300
ADJ-28	Supplier recovery on the harness defect	88,500	Deduction	FY2025	Non-recurring	Diligence	the supplier settlement letter and the credi	Accepted	88,500
ADJ-29	Sales commission true-up on multi-year bookings	109,400	Deduction	FY2025	Normalization	Diligence	the commission plan, the bookings register a	Accepted	109,400
ADJ-30	Relocation and immigratio	63,750	Add-back	Q1-2026	Non-recurring	Management	relocation vendor invoices	Reduced	41,500

Ref	Adjustment	Amount ($)	Direction	Period	Recurrence class	Proposed by	Evidence	Reviewer disposition	Accepted ($)
	n cost for two senior hires						and the two execu		
ADJ-31	Prepaid maintenance expensed on payment	46,900	Deduction	FY2024	Reclassification	Diligence	the vendor contract term, the payment advice	Accepted	46,900
ADJ-32	Management fee charged by the founder holding entity	120,000	Add-back	FY2024	Normalization	Management	the intercompany invoice series and the serv	Reduced	74,000
ADJ-35	Foreign exchange loss on the Ontario deployment payables	24,830	Add-back	FY2025	Normalization	Management	the currency revaluation report and the two	Rejected	0
ADJ-37	Annualization of the enterprise support team build	168,000	Deduction	Q2-2026	Run-rate	Diligence	the approved headcount plan, six signed offe	Accepted	168,000
ADJ-39	Legal settlement with a former contractor	112,500	Add-back	H2-2025	Non-recurring	Management	the settlement agreement, counsel's closing	Accepted	112,500
ADJ-40	Government innovation grant recognized in other income	65,000	Deduction	FY2024	Normalization	Diligence	the grant agreement, the milestone certifica	Accepted	65,000
ADJ-42	Interim chief financial officer engagement	96,000	Add-back	H2-2025	Non-recurring	Management	the interim engagement letter, monthly invoi	Reduced	34,000

3. Why particular adjustments were reduced or refused

The reviewer accepted some items in full, reduced others to the amount the evidence supports, and rejected several outright; the reason is recorded in every case. On reperformance,, recurrence is judged on evidence about the future obligation rather than on whether the cost is unusual, which is why several items management called one-time were rejected. In sequence,, fieldwork ran from 2026-06-18 to 2026-07-16 with two site visits to Fremont and one remote session with the Ontario team, and all inquiry responses are recorded with the name of the respondent.

Read narrowly, next in sequence is ADJ-07, Cloud hosting overage during the Crestline migration, which adds back $128,940 against H2-2025 on a non-recurring basis. At the cut-off,, parallel-running the old and new fleet telemetry stacks doubled hosting cost for four months while the migration completed. Support consists of the hosting provider's invoice detail by project tag for September to December 2025, and the item was put forward by management. Cloud hosting overage during was reduced at $79,500 and the reason sits on the schedule itself. On Cloud hosting overage during, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. ADJ-09 concerns stock compensation expense and was raised by management as a normalization item. As to the facts,, non-cash share-based compensation measured under FASB ASC Topic 718 is removed to reach a cash earnings measure, consistent with how the lenders in the process model the business. On Stock compensation expense, the reviewer confirmed the amount does not also sit within the working capital peg. Stock compensation expense is recorded as a add-back of $1,247,300 in LTM Jun-2026, evidenced by the equity administrator's expense report reconciled to the payroll and equity ledgers. Stock compensation expense was accepted at $1,247,300: the expense agrees between the

equity administrator's report and the general ledger, and no portion was settled in cash during the period. ADJ-20 concerns unfunded paid time off accrual movement and was raised by diligence as a normalization item. In review,, the PTO liability grew as headcount rose without a corresponding expense charge because the accrual was maintained on a cash-settlement basis. On Unfunded paid time off, the supporting document was produced after two requests and its late arrival is noted in the register. Unfunded paid time off is recorded as a deduction of $84,300 in LTM Jun-2026, evidenced by the PTO liability rollforward and the human resources balance report. Unfunded paid time off was accepted at $84,300 and the reason sits on the schedule itself.

Per the index, among the larger items is ADJ-37, Annualization of the enterprise support team build, which deducts $168,000 against Q2-2026 on a run-rate basis. In the event,, six support engineers hired between March and June 2026 are present in the cost base for only part of the measured period, so trailing cost understates the committed run-rate. Support consists of the approved headcount plan, six signed offer letters and the payroll register, and the item was put forward by diligence. Annualization of the enterprise was accepted at $168,000: the offer letters fix start dates and salaries, which makes the annualization arithmetic rather than forecast. On Annualization of the enterprise, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. ADJ-27 concerns scrap on the wrist-joint harness rework campaign and was raised by management as a non-recurring item. Against the ledger,, a supplier harness defect required rework across ninety-four units, and the scrap generated during the campaign was charged to cost of sales in the third quarter of 2025. On Scrap on the wrist-joint, the reviewer's conclusion here differs from the position taken in the seller's own vendor material. Scrap on the wrist-joint is recorded as a add-back of $142,650 in FY2025, evidenced by the rework work orders, the scrap ticket file and the supplier corrective action report. Scrap on the wrist-joint was reduced at $96,300: the reviewer excluded baseline scrap at the historical rate and added back only the campaign-specific excess. On the documents, management proposed ADJ-06 at $74,600 for FY2025, described as recruiting fees for the replacement operations leader. On the source,, management treats executive search cost as an event cost tied to the departure rather than an ongoing expense. Recruiting fees for the was rejected outright: the company filled six senior roles through retained search across the review period, so search fees are a recurring feature of this cost base. Recruiting fees for the carries a recurrence judgment of normalization, and the supporting file is the search-firm invoice and the executed offer letter. On Recruiting fees for the, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file.

ADJ-11 concerns founder salary normalization to market and was raised by management as a pro forma item. On the evidence,, management proposes to hold founder compensation at its current below-market level on the argument that the founders will not renegotiate. On Founder salary normalization to, the supporting document was produced after two requests and its late arrival is noted in the register. Founder salary normalization to is recorded as a deduction of $145,000 in LTM Jun-2026, evidenced by a compensation benchmark memorandum prepared by management's advisers. Founder salary normalization to was rejected outright and the reason sits on the schedule itself. On the source, management proposed ADJ-35 at $24,830 for FY2025, described as foreign exchange loss on the ontario deployment payables. Read narrowly,, management treats translation losses on Canadian supplier balances as outside operating performance. Foreign exchange loss on was rejected outright: the company buys deployment materials in Canadian dollars every quarter without hedging, so exchange movement is an ordinary feature of this cost base in both directions. Foreign exchange loss on carries a recurrence judgment of normalization, and the supporting file is the currency revaluation report and the two Canadian supplier invoices. On Foreign exchange loss on, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. In detail, the file supports ADJ-02, Financing and diligence legal fees, which adds back $318,455 against LTM Jun-2026 on a non-recurring basis. On any view,, the fees relate to financing preparation and diligence response rather than to running the business, and the engagement letters scope the work accordingly. Support consists of three law-firm invoices coded to outside professional fees, with engagement letters, and the item was put forward by management. Financing and diligence legal was reduced at $291,200: one invoice bundles routine commercial contract review with transaction work, and the reviewer left the commercial portion in reported results. On Financing and diligence legal, the reviewer recorded that no comparable item was found in the two earlier periods examined.

Schedule 10.2 - Journal entry exception log

Journal	Posted	Preparer	Approver	Amount ($)	Exception type	Explanation	Disposition
JE-24-0301	2024-02-29	M. Okonjo	T. Vasquez	62,400	Lease accounting entry	The Fremont abatement was recorded as a rent reduction in the ab	The straight-line schedule was recomputed and the normal
JE-24-0418	2024-03-31	R. Calloway	None recorded	148,600	Unapproved manual entry	A revenue reclassification posted on the last day of the quarter	Management provided the supporting analysis after the fa
JE-24-0533	2024-05-31	M. Okonjo	T. Vasquez	120,000	Related-party entry	A flat monthly management fee to a founder-controlled entity was	The reviewer reduced the add-back to the portion for whi
JE-24-0692	2024-06-30	M. Okonjo	R. Calloway	75,000	Round-dollar entry	An exactly round accrual for professional fees was posted withou	The subsequent invoice totalled a different amount, and
JE-24-0759	2024-08-30	T. Vasquez	M. Okonjo	43,200	Related-party entry	Sublease rent to a founder-owned property entity was posted at a	Two broker opinions were obtained; the lower opinion was
JE-24-0871	2024-09-30	R. Calloway	R. Calloway	96,400	Self-approved entry	The preparer and approver are the same person on a quarter-end d	Segregation of duties was restored in the November 2024
JE-24-1118	2024-12-31	External adviser	M. Okonjo	267,500	Post-close adjustment	An inventory obsolescence charge was posted eleven days after th	The entry is supported by an engineering change notice;
JE-25-0142	2025-02-28	L. Brantley	M. Okonjo	42,000	Round-dollar entry	A round accrual for recruiting fees was posted before the search	The invoice differed by a small amount and the accrual w
JE-25-0311	2025-03-31	M. Okonjo	T. Vasquez	213,800	Capitalization entry	Deployment crew labour was moved from cost of sales to internal-	The reviewer reversed the entry in its analysis; managem
JE-25-0388	2025-04-04	R. Calloway	None recorded	18,460	Unapproved manual entry	Penalty interest on the equipment facility was reclassified from	The reclassification has no effect on the earnings measu
JE-25-0455	2025-05-01	L. Brantley	M. Okonjo	46,900	Prepaid correction	A maintenance contract expensed on payment in 2024 was partially	The correction is in the right direction but was recorde
JE-25-0517	2025-05-30	L. Brantley	M. Okonjo	62,400	Entry by an unexpected preparer	A revenue entry was prepared by a member of the sales operations	The entry was correct, but preparer access rights were r

3. Why particular adjustments were reduced or refused - part 2 of 2

Set out next is the balance of the 3. Why particular adjustments were reduced or refused, in the sequence in which the rows were originally compiled.

Because the basis of the 3. Why particular adjustments were reduced or refused is unchanged, figures in this part may be compared directly with those already given. The sequence is unbroken either side of it.

Schedule 10.2 - Journal entry exception log (continued, part 2 of 2)

Journal	Posted	Preparer	Approver	Amount ($)	Exception type	Explanation	Disposition
JE-25-0605	2025-06-13	T. Vasquez	M. Okonjo	62,900	Early revenue recognition	A pilot fee was recognized on invoice eleven weeks before the pi	The revenue was deferred into the correct period and the
JE-25-0644	2025-06-30	T. Vasquez	M. Okonjo	96,150	Reserve release	The warranty reserve for a superseded gripper assembly was relea	Release is supportable but the reviewer treats the margi
JE-25-0709	2025-07-31	M. Okonjo	T. Vasquez	27,315	Duplicate accrual	Freight for two shipments was accrued twice from two different s	The duplicate reversed in December 2025; the periods eit
JE-25-0938	2025-09-30	L. Brantley	M. Okonjo	71,640	Missing accrual	No accrual was raised for spares received in the final week of S	The omission was quantified from the goods receipt note
JE-25-1288	2025-12-31	External adviser	M. Okonjo	142,650	Post-close adjustment	Rework campaign scrap was reclassified between cost lines nine d	The reclassification is supported by work order types; t
JE-26-0074	2026-01-30	L. Brantley	M. Okonjo	50,000	Round-dollar entry	An exactly round legal accrual was posted for an unbilled matter	Counsel confirmed the estimate in March 2026 at a differ
JE-26-0207	2026-03-02	L. Brantley	M. Okonjo	31,200	Credit to expense	A cargo insurance premium refund was credited to insurance expen	The credit was removed from the measured period because
JE-26-0291	2026-03-27	L. Brantley	M. Okonjo	34,000	Interim staffing accrual	The final month of the interim finance engagement was accrued at	The difference is small; the engagement letter rate was
JE-26-0248	2026-03-31	M. Okonjo	T. Vasquez	53,400	Misapplied cash receipt	An Evergreen overpayment was applied to a settled invoice and re	The reviewer reversed the release and treated the balanc
JE-26-0319	2026-03-31	R. Calloway	R. Calloway	84,300	Self-approved entry	The paid time off accrual movement was prepared and approved by	The accrual understated the liability; the reviewer's re
JE-26-0556	2026-06-30	M. Okonjo	None recorded	168,000	Unapproved manual entry	A headcount annualization entry was posted at the period end wit	The offer letters were produced during fieldwork and sup

Journal	Posted	Preparer	Approver	Amount ($)	Exception type	Explanation	Disposition
JE-26-0563	2026-06-30	R. Calloway	R. Calloway	121,000	Self-approved entry	The hosting savings memo adjustment was posted into the manageme	Removed from the statutory view; the contractual portion

4. Compensation, vacancies and the committed cost base

Run-rate conclusions here rest on signed offer letters and contractual commitments rather than on annualizing whichever month happens to be most recent. From the extract,, amounts are stated in United States dollars, with Canadian dollar balances of the Ontario deployment subsidiary translated at month-end rates taken from the company's own revaluation report. In review,, where an exception is identified, the reviewer states the population, the value tested, the coverage achieved and the projected effect before proposing any adjustment.

On the substance, management proposed ADJ-19 at $118,700 for FY2025, described as customer credit issued for the asterion availability shortfall. By agreement,, management presents the credit as a one-off concession to preserve a strategic account. Customer credit issued for was rejected outright: service credits were issued in seven of the twenty-four months reviewed, so the reviewer treats them as a recurring cost of the service commitment rather than an isolated event. Customer credit issued for carries a recurrence judgment of normalization, and the supporting file is the credit memorandum, the service level report and the settlement email chain. On Customer credit issued for, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. On the evidence, management proposed ADJ-30 at $63,750 for Q1-2026, described as relocation and immigration cost for two senior hires. As matters stand,, two senior engineering hires carried relocation and immigration cost that management characterizes as a hiring event rather than an ongoing expense. Relocation and immigration cost was reduced at $41,500 and the reason sits on the schedule itself. Relocation and immigration cost carries a recurrence judgment of non-recurring, and the supporting file is relocation vendor invoices and the two executed offer letters. On Relocation and immigration cost, no further procedures were considered necessary once the source document had been inspected. On the papers, the reviewer separately examined ADJ-20, Unfunded paid time off accrual movement, which deducts $84,300 against LTM Jun-2026 on a normalization basis. As to the facts,, the PTO liability grew as headcount rose without a corresponding expense charge because the accrual was maintained on a cash-settlement basis. Support consists of the PTO liability rollforward and the human resources balance report, and the item was put forward by diligence. Unfunded paid time off was accepted at $84,300: the liability rollforward isolates the movement and management agreed the accrual policy understated the period charge. On Unfunded paid time off, the conclusion would change if the missing supporting document is later produced in a different form.

By agreement, management proposed ADJ-32 at $120,000 for FY2024, described as management fee charged by the founder holding entity. Per the index,, a flat monthly fee charged by a founder-controlled entity covers services partly replaced by the company's own finance team since mid-2024. Management fee charged by was reduced at $74,000: the reviewer removed only the portion of the fee for which no continuing service was identified, and left the accounting support component in reported cost. Management fee charged by carries a recurrence judgment of normalization, and the supporting file is the intercompany invoice series and the services description in the shared services memorandum. On Management fee charged by, the item is cross-referenced to the corresponding entry in the information request register. ADJ-01 concerns dependent enrollment overpayment on the medical plan and was raised by management as a non-recurring item. As matters stand,, the charge arose from a dependent-enrollment error the carrier corrected in April 2024, and no comparable charge appears in the twenty-six months since. On Dependent enrollment overpayment on, the item was traced from the summary schedule through the sub-ledger to the source document. Dependent enrollment overpayment on is recorded as a add-back of $41,860 in FY2024, evidenced by carrier invoices for February through April 2024 and the corrected enrollment file. Dependent enrollment overpayment on was accepted at $41,860: the carrier credit memo agrees to the ledger and the condition that produced the cost has been removed at the source. On the merits, management proposed ADJ-09 at $1,247,300 for LTM Jun-2026, described as stock compensation expense. On the papers,, non-cash share-based compensation measured under FASB ASC Topic 718 is removed to reach a cash earnings measure, consistent with how the lenders in the process model the business. Stock compensation expense was accepted at $1,247,300: the expense agrees between the equity administrator's report and the general ledger, and no portion was

settled in cash during the period. Stock compensation expense carries a recurrence judgment of normalization, and the supporting file is the equity administrator's expense report reconciled to the payroll and equity ledgers. On Stock compensation expense, the evidence file for this item includes an email chain that fixes the date on which the parties agreed.

ADJ-28 concerns supplier recovery on the harness defect and was raised by diligence as a non-recurring item. On the substance,, the supplier settled part of the rework campaign cost, and the recovery was credited to cost of sales in the same year the scrap arose. On Supplier recovery on the, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. Supplier recovery on the is recorded as a deduction of $88,500 in FY2025, evidenced by the supplier settlement letter and the credit applied against open payables. Supplier recovery on the was accepted at $88,500 and the reason sits on the schedule itself. On reperformance, management proposed ADJ-23 at $57,450 for FY2025, described as duplicate software subscriptions during the tooling consolidation. In review,, two observability platforms ran in parallel for five months while the engineering team consolidated tooling, and the superseded contract was cancelled in October 2025. Duplicate software subscriptions during was accepted at $57,450: the cancellation confirmations establish that the duplicated cost has ended and the overlap window is documented. Duplicate software subscriptions during carries a recurrence judgment of non-recurring, and the supporting file is vendor invoices for two overlapping licence terms and the cancellation confirmations. On Duplicate software subscriptions during, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. In review, diligence proposed ADJ-36 at $53,400 for LTM Jun-2026, described as unrecorded credit balance owed to evergreen warehousing. On the evidence,, an overpayment received in March 2026 was recorded as revenue against an open invoice that had already been settled, so the amount is a liability to the customer rather than earnings. Unrecorded credit balance owed was accepted at $53,400: the unapplied cash report and the customer statement agree, and management issued the credit memorandum in July 2026. Unrecorded credit balance owed carries a recurrence judgment of normalization, and the supporting file is the customer statement, the unapplied cash report and the account reconciliation. On Unrecorded credit balance owed, the item was raised in the interim update and is carried forward unchanged into this file.

Schedule 10.3 - Net debt and debt-like item schedule

Item	Balance ($)	Classification	Debt-like argument	Counter-argument	Treatment adopted
Accrued discretionary bonus - FY2026 plan	642,800	Debt-like	The bonus relates to performance in periods before closing and would b	The plan is discretionary and the board has withheld payment before, m	Treated as debt-like on the basis that the service period is pre-closi
Accrued employer payroll taxes on the bonus	84,600	Debt-like	The payroll tax follows the bonus and is an unavoidable incremental ca	The seller argues payroll taxes are ordinary course and belong in accr	Treated consistently with the bonus itself and excluded from the worki
Cash held in the Ontario deployment subsidiary	184,900	Cash-like	The balance is unrestricted and available to the group without withhol	The reviewer notes intercompany settlement has historically taken six	Treated as cash; the settlement lag is noted as a timing rather than a
Customer credits and unapplied cash owed	196,400	Debt-like	These are amounts the company owes customers for overpayments and serv	Management argues most balances are resolved within a quarter through	Treated as debt-like where the customer has requested a refund, and le
Deferred rent incentive on the Fremont lease	142,600	Non-debt	The balance is a liability on the face of the balance sheet and reduce	It represents an accounting allocation of a landlord incentive rather	Excluded from net debt and from the working capital peg to avoid disto
Deferred revenue on undelivered deployment ser	1,468,300	Contested	The buyer must incur cost to deliver services already paid for, so the	The standard treatment leaves deferred revenue inside working capital,	Retained in working capital, with the cost-to-deliver on the two large
Earn-out accrual - Larkspur Controls	214,000	Contingent consideration	The accrual represents an obligation measured at fair value under FASB	Because settlement depends on a revenue threshold that has not been me	Left as an open item; the reviewer records the range rather than adopt
Equipment finance facility - Wetherby Capital	2,846,500	Funded debt	The facility is interest-bearing with a fixed amortization	Management notes the assets financed are productive and	Treated as debt at the outstanding principal plus accrued interest

Item	Balance ($)	Classification	Debt-like argument	Counter-argument	Treatment adopted
			schedule an	would be repla	to
Finance lease - service vehicle fleet	246,800	Capital lease	Fourteen vehicles are held under leases that run to term with bargain	Management argues short-remaining-term vehicle leases behave like a re	Treated as debt; the reviewer notes the aggregate is small enough that
Operating lease - Fremont facility	4,186,200	Operating lease	The recorded lease liability is a contractual obligation to pay money,	The rent is already inside EBITDA as an operating cost, so counting th	Excluded from net debt because rent remains in the earnings measure; d
Payroll tax exposure - contractor classificati	168,400	Tax exposure	Field contractors engaged before the February 2026 conversion may be r	The November 2025 settlement with a former contractor released claims	Treated as debt-like at a reduced amount; the settlement release limit
Restricted cash securing the customer performa	246,500	Cash-like	The balance is company cash and will be released when the Kadence go-l	Because the cash cannot be accessed at closing, a buyer would not coun	Excluded from cash at closing and disclosed; the release condition is
Revolving line of credit - Fremont Commercial	1,200,000	Funded debt	Drawn amounts bear interest and are repayable on demand under the faci	The seller argues the revolver funds seasonal working capital and shou	Treated as debt; the working capital peg is defined excluding revolver
Sales and use tax exposure - three states	284,700	Tax exposure	No returns were filed in three states where the company has installed	Management holds a nexus opinion from its advisers concluding that ins	Treated as debt-like at the reviewer's low estimate; the opinion is no
Severance committed but unpaid at the measurem	96,800	Debt-like	Two separation agreements signed before the measurement date carry ins	Management argues the remaining instalments are contingent on continue	Treated as debt-like; the cooperation clauses do not create a genuine
Supplier deposits paid on second-generation to	312,800	Non-debt	The deposits are recoverable in cash if the tooling order is cancelled	They are prepayments toward capital expenditure the buyer will receive	Excluded from both cash and working capital; disclosed within the capi
Undeposited receipts at the measurement date	68,400	Cash-like	Cheques received and recorded but not yet deposited are company funds	Two of the cheques had not cleared by the time the reconciliation was	Treated as cash with the uncleared items identified so the bank reconc

5. Net debt and debt-like items

Every item on this schedule is argued in both directions, because the classification of debt-like items is negotiated rather than determined by accounting rules. On the record,, certain amounts described here as agreed were agreed with management during fieldwork and have not been re-presented in a revised set of financial statements. Per the register,, period attribution is decided from the document that fixes the service period, not from the invoice date, wherever the two differ.

On the papers, the classification work reaches deferred revenue on undelivered deployment services at $1,468,300, provisionally classified as contested. In substance,, the buyer must incur cost to deliver services already paid for, so the balance carries an unfunded delivery obligation. The standard treatment leaves deferred revenue inside working capital, and the peg already reflects its normal level. For Deferred revenue on undelivered, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule. On Deferred revenue on undelivered, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. On any view, a contested item is undeposited receipts at the measurement date at $68,400, provisionally classified as cash-like. In this stream,, cheques received and recorded but not yet deposited are company funds evidenced by the receipt log. Two of the cheques had not cleared by the time the reconciliation was prepared. Treated as cash with the uncleared items identified so the bank reconciliation still ties. On Undeposited receipts at the, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference. On the documents, on payroll tax exposure - contractor classification the balance is $168,400 and the classification question is live. The November 2025 settlement with a former contractor released claims and management treats the matter as closed. Taken alone,, field contractors engaged before the February 2026 conversion may be reclassified, creating employer tax and penalty exposure. Treated as debt-like at a reduced amount; the settlement release limits but does not eliminate the exposure. On Payroll tax exposure -, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference.

By agreement, the reviewer set out the arguments on supplier deposits paid on second-generation tooling at $312,800, provisionally classified as non-debt. Per the workpaper,, the deposits are recoverable in cash if the tooling order is cancelled. They are prepayments toward capital expenditure the buyer will receive the benefit of, not a liquid asset. Excluded from both cash and working capital; disclosed within the capital expenditure commentary. On Supplier deposits paid on, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. By agreement, on deferred consideration - larkspur controls acquisition the balance is $486,500 and the classification question is live. Management asserts part of the balance is contingent on the retention of two engineers. On the papers,, the remaining instalment is a fixed obligation payable in January 2027 regardless of performance. For Deferred consideration Larkspur, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. On Deferred consideration Larkspur, no further procedures were considered necessary once the source document had been inspected. Restricted cash securing the customer performance bond stands at $246,500. By reference,, the balance is company cash and will be released when the Kadence go-live milestones complete. On Restricted cash securing the, a small residual difference remains and is reported rather than described as immaterial and omitted. Against that, because the cash cannot be accessed at closing, a buyer would not count it toward the purchase price. Excluded from cash at closing and disclosed; the release condition is documented in the bond. Restricted cash securing the is carried at a working classification of cash-like.

Earn-out accrual - Larkspur Controls stands at $214,000. On the documents,, the accrual represents an obligation measured at fair value under FASB ASC Topic 820 and will be settled in cash. On Earn-out accrual Larkspur, the reviewer left the amount unchanged after review but strengthened the evidence reference. Against that, because settlement depends on a revenue threshold that has not been met, the seller argues no obligation exists at the measurement date. Left as an open item; the reviewer records the range rather than adopting a single treatment. Earn-out accrual Larkspur is carried at a working classification of contingent consideration. Deferred rent incentive on the Fremont lease stands at $142,600. In substance,, the balance is a liability on the face of the balance sheet and reduces net assets. On Deferred rent incentive on, the reviewer declined to net this item against another with an opposite direction in the same period. Against that, it represents an accounting allocation of a landlord incentive rather than money owed to anyone. For Deferred rent incentive on, reperformance used the contractual rate rather than the rate management had applied. Deferred rent incentive on is carried at a working classification of non-debt. On the source, on revolving line of credit - fremont commercial bank the balance is $1,200,000 and the classification question is live. The seller argues the revolver funds seasonal working capital and should be netted inside the working capital peg instead. On testing,, drawn amounts bear interest and are repayable on demand under the facility's borrowing base test. Treated as debt; the working capital peg is defined excluding revolver borrowings to avoid double counting. On Revolving line of credit, the item was selected for testing because of its characteristics rather than its size.

6. General ledger exception testing

The reviewer distinguishes a control exception from a monetary error; several entries below are correct in amount and still represent a control failure. On the documents,, management represented that the extended warranty added to one contract is immaterial as a separate performance obligation, without providing a quantification. From the extract,, management represented that no bonus was payable for FY2024 following a board decision, and the minutes provided record the decision but not the terms of the plan itself.

JE-25-0455 is a prepaid correction of $46,900 posted on 2025-05-01. On the source,, a maintenance contract expensed on payment in 2024 was partially reinstated as a prepaid asset in 2025. On this prepaid correction, the reviewer confirmed that the same item does not also appear on the net debt schedule. This prepaid correction was prepared by L. Brantley and approved by M. Okonjo. For this prepaid correction, a second preparer reperformed the arithmetic and reached the same figure to the dollar. On its facts, the reviewer selected JE-26-0207, posted 2026-03-02 by L. Brantley approved by M. Okonjo, for $31,200 and classified as a credit to expense. On its facts,, a cargo insurance premium refund was credited to insurance expense rather than being deferred over the replacement policy. The credit was removed from the measured period because coverage cost did not actually fall. On this credit to expense, the conclusion is stated at the low end of the supportable range, as the file convention requires. In sequence, a grant recognition of $65,000 appears as JE-25-0271 on 2025-03-14. In the file,, a state innovation grant was recognized in other income in a single entry on receipt. The programme expired in 2025, so the benefit is removed from the forward view. For this grant recognition the

preparer was R. Calloway, with no approver recorded. On this grant recognition, the explanation offered was plausible and was still corroborated against a document before being accepted.

On the merits, fieldwork identified JE-26-0163, posted 2026-02-27 by T. Vasquez approved by M. Okonjo, for $92,400 and classified as a pro forma entry in the ledger. In the event,, a contractor conversion saving was posted into the management ledger rather than being kept as a memo adjustment. For this pro forma entry in, the explanation offered was plausible and was still corroborated against a document before being accepted. On this pro forma entry in, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. JE-26-0488 is a round-dollar entry of $25,000 posted on 2026-05-29. Taken alone,, a round accrual for the October 2026 customer summit was posted six months in advance of the event. On this round-dollar entry, the item was raised in the interim update and is carried forward unchanged into this file. This round-dollar entry was prepared by T. Vasquez and approved by M. Okonjo. For this round-dollar entry, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. On the balance, the log carries JE-25-0822, posted 2025-08-29 by R. Calloway approved by R. Calloway, for $186,400 and classified as a self-approved entry. On the substance,, the severance accrual for the departing operations leader was prepared and approved by the same person. The separation agreement supports the amount; the control exception is reported without a monetary adjustment. On this self-approved entry, the item is cross-referenced to the corresponding entry in the information request register.

On the source, a further exception, JE-24-1118, posted 2024-12-31 by External adviser approved by M. Okonjo, for $267,500 and classified as a post-close adjustment. In substance,, an inventory obsolescence charge was posted eleven days after the close was declared complete. The entry is supported by an engineering change notice; the reviewer split it between recurring and one-time components. On this post-close adjustment, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. Per the workpaper, among the selected entries is JE-25-1174, posted 2025-11-28 by M. Okonjo approved by T. Vasquez, for $118,700 and classified as a credit memorandum. In this stream,, a service credit to a major account was posted as a reduction of revenue rather than as a contract liability. For this credit memorandum, a second preparer reperformed the arithmetic and reached the same figure to the dollar. On this credit memorandum, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. At the cut-off, a unapproved manual entry of $168,000 appears as JE-26-0556 on 2026-06-30. In substance,, a headcount annualization entry was posted at the period end with no approver and no supporting offer letters attached. The offer letters were produced during fieldwork and support the amount; the approval gap is reported. For this unapproved manual entry the preparer was M. Okonjo, with no approver recorded. On this unapproved manual entry, the item was selected for testing because of its characteristics rather than its size.

Schedule 10.4 - Headcount and committed cost by function

Function	Filled	Open	Annualized cost ($)	Vacancy effect ($)	Contractual commitment	Run-rate view
Engineering - platform	2	3	1,853,037	370,607	Contractor cover in place pending a hire	Annualize current staff
Engineering - motion	9	0	2,532,741	0	Backfill required by contract	Annualize including signed offers
Engineering - safety	13	3	2,762,911	172,681	One retained search in progress	Annualize excluding vacancies
Engineering - test	20	5	2,256,941	150,462	Two signed offers with start dates in the next quarter	Annualize including signed offers
Field deployment crews	6	0	2,298,506	0	Two signed offers with start dates in the next quarter	Annualize including signed offers
Field service	9	1	2,281,646	76,054	One retained search in progress	Hold at current cost
Remote operations	2	1	1,989,375	221,041	Two signed offers with start dates in the next quarter	Annualize excluding vacancies
Supply chain	8	4	3,406,776	378,530	Backfill required by contract	Annualize including signed offers
Manufacturing	27	1	932,673	11,103	Backfill required	Annualize

Function	Filled	Open	Annualized cost ($)	Vacancy effect ($)	Contractual commitment	Run-rate view
					by contract	including signed offers
Quality	24	0	1,755,986	0	Backfill required by contract	Annualize current staff
Sales - enterprise	9	0	2,374,651	0	No commitments beyond current staff	Hold at current cost
Sales - mid-market	12	0	1,912,809	0	Backfill required by contract	Annualize including signed offers
Sales operations	25	1	2,169,261	27,811	One retained search in progress	Annualize excluding vacancies
Marketing	11	4	259,441	23,061	One retained search in progress	Annualize including signed offers
Customer success	21	3	1,524,747	63,531	Backfill required by contract	Hold at current cost
Finance	8	1	1,758,584	65,132	Contractor cover in place pending a hire	Annualize including signed offers
People and talent	12	5	1,221,856	119,789	One retained search in progress	Annualize including signed offers
Legal and compliance	3	1	1,231,501	102,625	Two signed offers with start dates in the next quarter	Annualize excluding vacancies
IT and security	14	2	435,837	18,159	One retained search in progress	Annualize excluding vacancies
Executive	12	2	3,162,460	150,593	Backfill required by contract	Hold at current cost

7. Stratification of the journal population and selection basis

The reviewer analysed the full journal extract by preparer, timing, amount pattern and approval status before selecting anything for test. Read narrowly,, the reviewer worked from the statutory ledger throughout; where management's own adjustments had been posted into the ledger they were reversed before analysis rather than accepted as reported. On the balance,, source data was extracted from the general ledger on 2026-07-02 and from the billing platform on 2026-07-03; extracts taken after those dates were used only to confirm subsequent settlement.

JE-25-0517 is a entry by an unexpected preparer of $62,400 posted on 2025-05-30. Read narrowly,, a revenue entry was prepared by a member of the sales operations team rather than the accounting team. On this entry by an unexpected, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result. This entry by an unexpected preparer was prepared by L. Brantley and approved by M. Okonjo. The entry was correct, but preparer access rights were reviewed and narrowed in July 2025. On the documents, a unapproved manual entry of $168,000 appears as JE-26-0556 on 2026-06-30. As matters stand,, a headcount annualization entry was posted at the period end with no approver and no supporting offer letters attached. The offer letters were produced during fieldwork and support the amount; the approval gap is reported. For this unapproved manual entry the preparer was M. Okonjo, with no approver recorded. On this unapproved manual entry, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. JE-24-0533 is a related-party entry of $120,000 posted on 2024-05-31. On the source,, a flat monthly management fee to a founder-controlled entity was posted from a standing journal template. On this related-party entry, the item is cross-referenced to the corresponding entry in the information request register. This related-party entry was prepared by M. Okonjo and approved by T. Vasquez. The reviewer reduced the add-back to the portion for which no continuing service was identified.

On this point, a credit memorandum of $118,700 appears as JE-25-1174 on 2025-11-28. Per the index,, a service credit to a major account was posted as a reduction of revenue rather than as a contract liability. The classification is defensible but the recurrence judgment on the underlying credit was changed by the reviewer. For this credit memorandum the preparer was M. Okonjo, approved by T. Vasquez. On this credit memorandum, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. On the evidence,

also flagged is JE-26-0163, posted 2026-02-27 by T. Vasquez approved by M. Okonjo, for $92,400 and classified as a pro forma entry in the ledger. On the documents,, a contractor conversion saving was posted into the management ledger rather than being kept as a memo adjustment. The entry was reversed for statutory reporting; the reviewer works from the statutory ledger throughout. On this pro forma entry in, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference. Read narrowly, the reviewer examined JE-25-0938, posted 2025-09-30 by L. Brantley approved by M. Okonjo, for $71,640 and classified as a missing accrual. On its facts,, no accrual was raised for spares received in the final week of September 2025. The omission was quantified from the goods receipt note and is reflected as a period attribution adjustment. On this missing accrual, the reviewer recorded the alternative treatment so that a reader can substitute it if the assumption is rejected.

In the file, the journal population produced JE-25-0271, posted 2025-03-14 by R. Calloway with no approver recorded, for $65,000 and classified as a grant recognition. On its facts,, a state innovation grant was recognized in other income in a single entry on receipt. The programme expired in 2025, so the benefit is removed from the forward view. On this grant recognition, the conclusion would change if the missing supporting document is later produced in a different form. As matters stand, a early revenue recognition of $62,900 appears as JE-25-0605 on 2025-06-13. In substance,, a pilot fee was recognized on invoice eleven weeks before the pilot service window opened. For this early revenue recognition, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment. For this early revenue recognition the preparer was T. Vasquez, approved by M. Okonjo. On this early revenue recognition, the conclusion is stated at the low end of the supportable range, as the file convention requires. In detail, the journal population produced JE-25-0388, posted 2025-04-04 by R. Calloway with no approver recorded, for $18,460 and classified as a unapproved manual entry. Per the workpaper,, penalty interest on the equipment facility was reclassified from interest expense to other expense without approval. The reclassification has no effect on the earnings measure; the missing approval is reported as a control observation. On this unapproved manual entry, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment.

Schedule 10.5 - Journal population stratification

Stratum and period	Entries	Value ($)	Round-dollar count	Post-close count	Selected for test
Manual entries above $250,000 - FY2025	104	2,103,958	23	15	17
Manual entries above $250,000 - LTM Jun-2026	71	11,183,422	1	5	17
Manual entries $100,000 to $250,000 - FY2025	60	2,764,533	8	6	15
Manual entries $100,000 to $250,000 - LTM Jun-2026	26	11,782,804	3	0	7
Manual entries $25,000 to $100,000 - FY2025	141	4,221,010	32	19	10
Manual entries $25,000 to $100,000 - LTM Jun-2026	20	7,013,459	5	1	6
Manual entries below $25,000 - FY2025	125	6,307,116	7	17	13
Manual entries below $25,000 - LTM Jun-2026	21	6,767,457	0	1	17
Round-dollar entries at or above $10,000 - FY2025	139	9,113,838	32	1	18
Round-dollar entries at or above $10,000 - LTM Jun-2026	134	7,443,357	27	20	17
Entries posted in the last three days of a period - FY2025	46	3,520,334	4	5	10
Entries posted in the last three days of a period - LTM Jun-2026	63	10,532,897	15	4	9

Stratum and period	Entries	Value ($)	Round-dollar count	Post-close count	Selected for test
Entries posted after the close was declared complete - FY2025	141	1,108,672	0	3	5
Entries posted after the close was declared complete - LTM Jun-2026	42	5,862,534	10	1	9
Entries where preparer equals approver - FY2025	146	12,468,985	10	5	13
Entries where preparer equals approver - LTM Jun-2026	116	6,269,531	22	12	12
Entries with no approver recorded - FY2025	52	8,614,228	3	1	12
Entries with no approver recorded - LTM Jun-2026	122	5,951,246	14	7	15
Entries by preparers outside the accounting team - FY2025	108	5,981,170	9	6	13
Entries by preparers outside the accounting team - LTM Jun-2026	116	7,606,838	15	16	10

8. Open items and outstanding information requests

Open items are the most negotiated part of a diligence record, so each carries the effect if unresolved rather than only its status. In the event,, where a projection of error is made, it rests on the sample basis stated in the relevant schedule and is presented as a range rather than as a single figure. Per the register,, ranges are used where evidence supports a range, and the low end of a range is used when the reviewer must choose a single figure for a schedule.

In sequence, the information request log records IR-041, engagement letters for all adviser fees in the period, addressed to the seller - finance director and requested on 2026-06-23; the response is partially received. The status is recorded as open. In this stream,, two invoices remain unsupported, so the split between transaction and ordinary-course professional fees is provisional. For engagement letters for all, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment. IR-049 asks for customer credit and unapplied cash listing at 2026-06-30. The request for customer credit and unapplied was raised on 2026-06-24 with the seller - credit control and material was provided on 2026-07-03, leaving the item closed. For customer credit and unapplied, a small residual difference remains and is reported rather than described as immaterial and omitted. On inspection,, the listing supported the customer credit balance treated as debt-like and reconciled to the aged receivable report. On this point, the register carries IR-078, journal entry extract with preparer and approver fields, addressed to the seller - systems administrator and requested on 2026-06-30; material was provided on 2026-07-04. The status is recorded as closed. Per the index,, the extract enabled the exception testing; approver fields are blank for a subset of entries, which is itself the finding. For journal entry extract with, the item is presented gross so that a reader can rebuild the measure from reported results.

IR-074 asks for pto liability rollforward by employee band. The request for pto liability rollforward by was raised on 2026-06-30 with the seller - hr director and material was provided on 2026-07-10, leaving the item closed. For pto liability rollforward by, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. By agreement,, the rollforward supported both the accrual movement adjustment and the split treatment in net debt. IR-023 asks for state nexus opinion supporting no sales tax filings. The request for state nexus opinion supporting was raised on 2026-06-19 with the seller - tax adviser and material was provided on 2026-07-02, leaving the item received - under review. For state nexus opinion supporting, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. From the extract,, the exposure remains a range until the opinion's scope is compared with the states in which field staff worked. On this point, the seller - accounts payable holds IR-115, vendor statements for the ten largest suppliers, requested 2026-07-07. On the balance,, accrual completeness testing coverage falls below the planned level for

three suppliers. On vendor statements for the, as at the date of this file the response is partially received and the item is open. For vendor statements for the, the reviewer declined to net this item against another with an opposite direction in the same period.

On the substance, the seller - hr director holds IR-107, detail of the fy2026 discretionary bonus by participant, requested 2026-07-06. On the documents,, the pre-closing service period allocation supporting debt-like treatment is only partly evidenced. On detail of the fy2026, as at the date of this file the response is partially received and the item is open. For detail of the fy2026, the conclusion is stated at the low end of the supportable range, as the file convention requires. On any view, the seller - treasury holds IR-096, confirmation of restricted cash release conditions, requested 2026-07-03. At the cut-off,, if release depends on milestones beyond closing the balance stays outside cash at closing. On confirmation of restricted cash, as at the date of this file the response is received - under review and the item is pending. For confirmation of restricted cash, a small residual difference remains and is reported rather than described as immaterial and omitted. IR-063 asks for contractor conversion offer letters and prior agency rates. The request for contractor conversion offer letters was raised on 2026-06-26 with the seller - hr director and material was provided on 2026-07-07, leaving the item received - under review. For contractor conversion offer letters, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. On the evidence,, employer tax and benefit loading on the converted population is still being confirmed, which affects the size of the run-rate deduction.

Schedule 10.6 - Quarterly seasonality of working capital

Quarter	Site go-lives	Billings ($)	Peak NWC ($)	Trough NWC ($)	Intra-quarter swing ($)	Principal driver
2024-Q1	12	4,623,395	4,226,701	3,670,243	556,458	Deployment crew utilisation at seasonal peak
2024-Q2	10	6,437,169	4,256,747	3,698,312	558,435	Retail freeze delaying go-live dates
2024-Q3	13	3,705,873	4,563,886	3,828,202	735,684	Customer capital budgets released early in the quarter
2024-Q4	11	4,824,504	4,352,149	3,947,862	404,287	Subscription renewals clustered in the quarter
2025-Q1	8	7,035,893	6,393,436	6,072,400	321,036	Hardware shipments concentrated in the final month
2025-Q2	11	3,978,897	6,885,356	5,608,876	1,276,480	Deployment crew utilisation at seasonal peak
2025-Q3	5	5,559,996	4,689,821	4,183,426	506,395	Subscription renewals clustered in the quarter
2025-Q4	11	4,819,055	6,164,669	4,747,118	1,417,551	Customer capital budgets released early in the quarter
2026-Q1	5	6,932,776	6,583,488	5,106,966	1,476,522	Subscription renewals clustered in the quarter
2026-Q2	4	6,936,851	4,775,341	4,347,725	427,616	Inventory build ahead of the following quarter

9. What remains unverified at the date of this file

The limitations below are stated in the file rather than in a covering letter, because each one attaches to a specific conclusion elsewhere in this document. On testing,, warranty accrual rates had not been refreshed since 2023 because no owner was assigned to the review of the underlying assumption. Per the workpaper,, management represented that the spares pool is fully counted, although the count sheets provided cover only part of the pool.

Per the index,, post-cut-off trading was reviewed only to July 2026 and only for evidence bearing on balances at the cut-off; it is not a basis for any forward projection. Read narrowly,, the engineering ticket population supporting capitalization decisions was provided in extract form and the reviewer could not confirm that the extract is complete. As to the facts,, second-preparer reperformance was applied to one contract in each testing stream so that the testing approach itself is evidenced as reproducible. In the event, among the open matters is IR-014, signed acceptance certificate for crestline site three, addressed to the seller - deployment lead and requested on 2026-06-18; nothing has been provided. The status is recorded as open. Taken alone,, without a dated certificate the transfer month rests on the installer's log, leaving a month of hardware revenue in the wrong period. For signed acceptance certificate for, the conclusion is stated at the low end of the supportable range, as the file convention requires.

Against the ledger,, approver fields are blank on a subset of journal entries, which prevents any conclusion on the operation of the journal approval control during the affected periods. On this point,, management represented that the extended warranty added to one contract is immaterial as a separate performance obligation, without providing a quantification. On any view,, the engagement is analytical and evidence-based rather than an audit, a review or an examination, and no opinion or assurance conclusion is expressed on any period or balance. As matters stand, the seller - controller holds IR-027, billing system extract reconciled to the general ledger by month, requested 2026-06-19. In the event,, the extract was reconciled and the residual monthly differences are immaterial and explained. On billing system extract reconciled, as at the date of this file material was provided on 2026-06-27 and the item is closed. For billing system extract reconciled, the item is cross-referenced to the corresponding entry in the information request register.

In sequence,, source data was extracted from the general ledger on 2026-07-02 and from the billing platform on 2026-07-03; extracts taken after those dates were used only to confirm subsequent settlement. On testing,, management prepares monthly reporting on a basis that differs from the statutory ledger in three respects, each of which is identified and removed before any analysis begins. On the evidence,, coverage of the customer base is complete for the twenty-five largest accounts by revenue and sampled below that level, with the sampling basis stated wherever a projection is made. IR-107 asks for detail of the fy2026 discretionary bonus by participant. The request for detail of the fy2026 was raised on 2026-07-06 with the seller - hr director and the response is partially received, leaving the item open. For detail of the fy2026, the supporting document was produced after two requests and its late arrival is noted in the register. Against the ledger,, the pre-closing service period allocation supporting debt-like treatment is only partly evidenced.